

A Study on
“Horizontal Statement Analysis
of Apple”

A Project Submitted for the Degree of
MASTER OF BUSINESS ADMINISTRATION



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DECLARATION

We Hereby declare that the project entitled “**Horizontal Statement Analysis**” submitted to the fulfilment for award of the **MASTER OF BUSINESS ADMINISTRATION (MBA) DEGREE AT CENTURION UNIVERSITY OF TECHNOLOGY AND MANAGEMENT**. This Project works is original and has not been submitted so far in any part or full for any other university or institute for the award of any Degree or Diploma

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BONAFIDE CERTIFICATE

Certified that this project report “**Horizontal Statement Analysis**” is the Bonafide work of “V. Venkata Raj Gopal, CH. Sravani” who carried out the project work under my supervision. This is to further certify, to the best of my knowledge, that this project has not been carried out earlier in this institute and the university.

SIGNATURE

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Dr.Ch. Mohana babu

*Certified that the above-mentioned project has been duly carried out as per the norms
of the college and statutes of the university*

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Horizontal Statement Analysis Of Apple

CHAPTER 1

Introduction to Financial Statement Analysis

Financial statement analysis is a systematic process used to evaluate and interpret the financial information presented by an organization in its annual financial reports. These statements, primarily the Balance Sheet, Income Statement, and Cash Flow Statement, provide a complete picture of the company's financial performance over a specific accounting period. The purpose of conducting financial statement analysis is to understand how well a company is utilizing its resources, generating income, managing its liabilities, and creating value for its shareholders.

Every business, regardless of size or industry, relies on financial information to make educated decisions. Financial statements help in understanding the company's liquidity, profitability, solvency, and operational efficiency. When analyzed correctly, they provide insights into how the company has been performing and what financial direction it is taking. Financial statement analysis transforms raw accounting data into meaningful interpretations that support decision-making.

Stakeholders such as investors, creditors, government agencies, managers, and employees depend heavily on financial analysis. Investors look at financial statements to assess whether the company is a safe investment. Creditors examine the statements to evaluate the company's ability to repay loans and meet its obligations. Management uses analysis to understand operational efficiency, control costs, and plan for the future. Even employees may study financial performance to understand the stability of their organization.

Furthermore, financial statement analysis helps in identifying patterns and trends that could indicate potential strengths or weaknesses. For instance, an increase in revenue over several years may demonstrate growth, while rising liabilities could signal future financial stress. The analysis also helps companies compare their performance with industry averages or competitors. In today's competitive world, companies are under constant pressure to maintain transparency and communicate financial performance clearly. Proper financial analysis enables this transparency and fosters trust among stakeholders.

Thus, financial statement analysis is not just an academic concept but a practical tool essential for business survival, growth, and decision-making. It helps convert financial data into insights and plays a critical role in evaluating the overall financial health of an enterprise.

Introduction to Horizontal / Comparative Analysis

Horizontal analysis, also known as comparative analysis, is a technique used to evaluate the financial performance of an organization over multiple periods by comparing the same financial items across different years. Instead of analyzing financial data in isolation, horizontal analysis places figures side by side, allowing for a clear understanding of growth, decline, or stability over time. It is widely considered one of the simplest and most effective tools for identifying meaningful trends in financial statements.

Horizontal analysis focuses on measuring both absolute and percentage changes. Absolute change is the difference between values of two periods, while percentage change shows the proportion of increase or decrease relative to the previous year. These calculations make financial data more meaningful, helping analysts determine whether changes are significant or minor. For example, if a company's total assets increased from one year to the next, horizontal analysis shows the exact value of the increase and how much it represents in percentage terms.

This method is used extensively by financial analysts, managers, investors, auditors, and researchers. It helps identify the financial direction of a company—whether it is expanding, contracting, or remaining stable. Horizontal analysis can reveal important signals such as the company's ability to grow revenues, control expenses, manage liabilities, and maintain equity.

One of the biggest advantages of horizontal analysis is its simplicity. It presents financial information in a line-by-line comparative format, making it easier to interpret historical patterns. It can help highlight unusual growth, abnormal fluctuations, or deviations that may require deeper investigation. For example, a sudden spike in liabilities could indicate increased borrowing, while a fall in cash reserves could point to liquidity challenges.

Horizontal analysis is particularly useful in academic projects and research because it helps students and researchers understand how financial items move over time. It also forms the foundation for advanced financial tools like trend analysis, forecasting, and ratio interpretation. In the context of this project, horizontal analysis is used to compare financial statements of selected companies for the years 2023 and 2024, enabling a structured and clear understanding of financial progress and challenges faced by each organization.

Background of the Study

The rapid changes in business environments, globalization of markets, technological advancements, and increased competition have made financial transparency more crucial than ever before. Every company publishes annual financial statements to communicate its financial position and performance to stakeholders. However, merely publishing financial statements is not enough. Without proper analysis, stakeholders may not understand the deeper meaning of the figures presented.

The background of this study lies in the growing need to evaluate financial performance systematically. Companies operate in uncertain economic environments where various internal and external factors influence their financial outcomes. Investors and managers need reliable methods to understand these outcomes and make logical decisions. Horizontal analysis helps by comparing financial data across years and identifying patterns that aid in understanding the company's progress.

This project focuses on conducting a horizontal analysis of companies like Apple, Samsung, TVS Motor, and MRF Ltd., which operate in technologically advanced and competitive industries. These companies publish detailed financial statements every year to maintain transparency and comply with regulatory requirements. By comparing their financial data for the years 2023 and 2024, we gain insights into how their financial positions have changed during this period.

The background of the study highlights the importance of using comparative analysis as a means to understand financial stability, growth, profitability, and efficiency. A company may expand its assets while reducing liabilities, indicating improved financial discipline. On the other hand, increasing liabilities or decreasing equity might indicate potential challenges. These changes can only be understood through structured analysis.

In today's business world, financial performance directly affects investor decisions, customer confidence, employee morale, and competitive positioning. Understanding financial trends helps organizations prepare for future strategies. Therefore, this study is grounded in the need to evaluate financial movements of selected companies to support academic understanding and real-world decision-making.

Need for the Study

The need for this study arises from the increasing importance of financial accountability and transparency in organizations. As companies grow, diversify, and expand into global markets, analyzing financial performance becomes essential. Stakeholders cannot rely solely on raw financial data; they need structured insights to understand whether the company is improving or facing potential financial risks.

Horizontal analysis meets this requirement by providing clear comparisons of financial items across multiple years. It helps identify positive and negative trends in assets, liabilities, and equity, enabling stakeholders to understand the financial direction of the company. This study is needed because year-to-year comparison allows users to assess growth, operational efficiency, borrowing patterns, and capital structure changes.

Managers need such analysis to make informed internal decisions about budgeting, investment, and resource allocation. Investors require this study to identify whether the company is a worthwhile investment opportunity. Creditors need horizontal analysis to assess repayment capacity before approving loans. Even employees and unions may refer to financial performance to understand stability and job security.

Additionally, the study helps uncover patterns that may not be visible in a single-year statement. For example, a rise in assets might look positive, but if liabilities rise faster, the financial risk increases. Horizontal analysis helps identify such imbalances. In academic settings, this study is necessary because it improves understanding of financial interpretation and analytical thinking.

Thus, the need for this study is based on the growing demand for comparative financial information. It serves as a systematic approach to measure financial performance, identify changes, detect challenges, and guide better decision-making in real-world business situations.

Objectives of the Study

The study aims to achieve the following objectives:

Primary Objective:

- To conduct a detailed horizontal financial statement analysis of selected companies for the financial years 2023 and 2024 and understand the year-to-year variations in their financial performance.

Secondary Objectives:

- To compare changes in major financial categories such as total assets, current assets, non-current assets, total liabilities, current liabilities, non-current liabilities, and shareholders' equity.
- To calculate absolute and percentage changes in financial items to measure growth or decline.
- To interpret these financial changes and evaluate the financial stability and performance of each company.
- To identify positive financial trends such as strengthening equity, reducing liabilities, or expanding assets.
- To point out negative trends such as rising debts or declining equity that may require managerial attention.
- To provide an analytical foundation that helps stakeholders understand the implications of financial changes.
- To contribute to academic research and learning by demonstrating the importance of comparative analysis in financial evaluation.

These objectives ensure the study is systematic, meaningful, and directed towards understanding the financial health of selected companies.

Scope of the Study

The scope of this study covers the comparative financial analysis of selected companies for two financial years—2023 and 2024. The analysis is based entirely on secondary data taken from published annual reports of the companies. The selected companies operate in technology, electronics, automotive, and tyre manufacturing industries, which makes the comparison relevant and insightful due to their global presence and competitive nature.

The study mainly focuses on Balance Sheet analysis, as it provides essential information about the company's assets, liabilities, and equity. Horizontal analysis is used to identify how these financial items have changed over the two-year period. The study includes absolute changes, percentage changes, and interpretations of these results.

However, the study does not include detailed ratio analysis, cash flow analysis, or predictive financial models unless referenced for interpretation purposes. The scope is limited to understanding financial movement, identifying trends, and offering observations based on the comparative data.

The study is meant for academic, managerial, and financial understanding. It serves students, researchers, and practitioners who seek to understand the importance of financial comparison. Overall, the scope focuses on evaluating year-to-year financial performance without extending into long-term forecasting or industry benchmarking.

Limitations of the Study

While the study provides meaningful insights into the financial performance of selected companies, it also has several limitations. The first limitation is that the analysis is based solely on secondary data obtained from annual reports. These reports may not reveal confidential financial details, internal management decisions, or operational strategies that influence financial outcomes. As a result, the interpretations are limited to publicly available information.

Another limitation is that the study compares financial data for only two years. Although comparing two years can provide a preliminary understanding of financial movement, it may not be sufficient to identify long-term trends or seasonal variations. A long-term analysis over five or ten years would give a more comprehensive understanding of financial performance.

Additionally, multinational companies operate in different currencies, regulatory environments, and accounting standards. Currency exchange rate fluctuations and differences in reporting practices may affect comparability of financial data across companies. For example, a company reporting in US dollars may show different financial movement compared to a company reporting in Korean Won or Indian Rupees.

Economic conditions such as inflation, recession, and global market changes also influence financial performance but are not deeply examined in this study. The analysis focuses on numerical changes without examining all external economic variables. Moreover, horizontal analysis alone cannot determine the reasons behind financial changes; it only highlights “what changed,” not “why it changed.”

Despite these limitations, the study still offers valuable interpretations of financial changes and provides a foundational understanding of the financial direction of selected companies.

CHAPTER 2

INDUSTRY PROFILE

The global technology and electronics industry is one of the fastest-growing and most influential sectors in the world. It plays a major role in shaping modern lifestyles, business operations, and economic development. This industry includes companies involved in consumer electronics, smartphones, computers, semiconductors, digital devices, software, and related services. Over the last decade, the industry has witnessed rapid innovation, increasing competition, and continuous advancements in technology, especially in areas such as artificial intelligence, cloud computing, chip manufacturing, electric vehicles, and digital connectivity.

The demand for electronic products has been growing due to changes in consumer preferences, adoption of smart devices, increasing internet penetration, and rising dependence on digital solutions. The global smartphone market, led by companies like Apple and Samsung, continues to expand as consumers upgrade devices more frequently and seek high-performance features. In addition, industries such as healthcare, education, automotive, and entertainment heavily depend on technology, which further drives the growth of the electronics sector.

Competition in this industry is intense. Companies must constantly innovate to maintain their market share. Product life cycles are short, and new technologies become outdated quickly. As a result, research and development (R&D) spending is extremely high. Companies invest billions of dollars annually to improve processors, displays, battery efficiency, software, and user experience. The semiconductor market is a critical component of this industry, with chips being used in almost every modern device—from phones and computers to automobiles and home appliances.

The global electronics supply chain is highly interconnected. Raw materials are sourced from multiple countries, manufacturing is often located in regions like China, South Korea, Vietnam, and India, while sales are distributed worldwide. This creates both opportunities and challenges. While access to global markets increases revenue potential, disruptions such as pandemics, geopolitical tensions, or logistics issues can affect production and sales.

Emerging trends in the industry include 5G technology adoption, foldable smartphones, wearable devices, augmented reality, sustainable manufacturing, and increased focus on cybersecurity. The rise of digital ecosystems—services like Apple's iCloud, Samsung's SmartThings, and app marketplaces—shows that the industry is moving beyond hardware to integrated platforms that connect devices and services.

Overall, the technology and electronics industry is dynamic, innovative, and growth-oriented. It significantly impacts economies across the world and continues to create new opportunities for companies and consumers. The performance of companies in this sector must be regularly analyzed to understand financial trends, strategic direction, and competitiveness.

COMPANY PROFILES

This section provides detailed profiles of the selected companies—Apple Inc. and Samsung Electronics—both of which are global leaders in the technology and electronics industry. Their financial statements are used for horizontal analysis in later chapters.

APPLE INC.

Apple Inc. is a United States-based multinational technology company headquartered in Cupertino, California. Founded in 1976 by Steve Jobs, Steve Wozniak, and Ronald Wayne, Apple has grown into one of the world's largest and most valuable companies. Apple is widely known for its strong brand identity, innovative products, and high-quality customer experience.

Apple designs, manufactures, and sells a wide range of consumer electronic products, including the iPhone, iPad, Mac computers, Apple Watch, AirPods, and Apple TV. The company also operates a powerful ecosystem of services such as the App Store, iCloud, Apple Music, Apple Pay, Apple Arcade, and Apple TV+. This integration of hardware, software, and services allows Apple to maintain strong customer loyalty and consistent revenue growth.

One of Apple's biggest strengths is its innovation capability. It constantly updates its products with improved processors, camera systems, and software features. The launch of new iPhone models each year remains a major revenue driver. Apple is also heavily investing in future technologies including artificial intelligence, augmented reality, health technology, and renewable energy.

The company operates in over 100 countries through retail stores, online platforms, and authorized resellers. Its supply chain is global, with manufacturing partners primarily in China, Taiwan, India, and Vietnam. Apple's business strategy focuses on premium pricing, product differentiation, and maintaining high profit margins.

Financially, Apple is known for its strong balance sheet, high profitability, and significant cash reserves. It consistently generates high revenue from both products and services. The company follows strict financial reporting practices and publishes detailed annual and quarterly reports. Its financial performance is closely monitored by investors, analysts, and regulators worldwide.

APPLE INC. – COMPLETE COMPANY PROFILE & ORGANIZATIONAL STRUCTURE

1. Basic Company Information

- Company Name: Apple Inc.
- Founded: 1976
- Founders: Steve Jobs, Steve Wozniak, Ronald Wayne
- Headquarters: Cupertino, California, USA
- Industry: Technology, Consumer Electronics, Software, Services
- CEO: Tim Cook
- Nature of Business: Multinational Corporation

2. Vision and Mission

- Vision: To create the best products on earth and leave the world better than we found it.
- Mission: To design innovative, high-quality products that enrich people's lives.

3. Products and Services

- iPhone
- iPad
- Mac (MacBook, iMac)
- Apple Watch
- AirPods
- Apple TV
- iOS, macOS, iPadOS
- Services: App Store, Apple Music, iCloud, Apple Pay, Apple TV+

4. Type of Organizational Structure

- Apple follows a **Functional Organizational Structure**
- It is **centralized**
- Decisions are taken by top management
- Employees are grouped based on **functions**, not products

5. Top Management Structure

- Board of Directors
- Chief Executive Officer (CEO)
- Senior Vice Presidents
- Vice Presidents
- Functional Heads

6. Detailed Organizational Structure (Functional)

a. Chief Executive Officer (CEO)

- Tim Cook
- Overall decision-making authority
- Sets company strategy and goals
- Reports to Board of Directors

CHAPTER 3

Meaning of Financial Statements

Financial statements are formal records that provide a clear and structured summary of the financial activities and performance of an organization over a specific period. They are prepared at the end of every accounting year and serve as the most important source of information for various stakeholders such as investors, creditors, managers, auditors, regulators, and government agencies. Financial statements help in understanding the overall financial health of a business by presenting information on assets, liabilities, revenues, expenses, and equity.

The primary purpose of financial statements is to provide a fair and accurate representation of the company's financial condition. They help users understand how resources are managed, how profits are generated, how obligations are met, and how financial stability is maintained. Financial statements follow standardized accounting principles—such as GAAP or IFRS—ensuring consistency and comparability across companies and time periods. This standardization allows analysts to compare financial performance between companies like Apple and Samsung or evaluate their growth over several years.

Financial statements also aid in decision-making. Investors analyze them to assess whether a company is worth investing in. Lenders study them to evaluate repayment capacity. Managers use them to identify operational strengths, weaknesses, and opportunities for improvement. Regulators rely on them to ensure compliance with financial laws and reporting standards. As financial statements reflect both short-term and long-term performance, they play an essential role in strategic planning, resource allocation, and future forecasting.

In summary, financial statements are the backbone of financial reporting. They convert business transactions into meaningful and structured information, enabling users to assess the financial soundness, performance, and future potential of a company. Without financial statements, it would be impossible to understand or measure the financial implications of business activities.

Types of Financial Statements

Financial statements consist of several components, each serving a specific purpose. For this project, the focus is mainly on two essential statements: the **Balance Sheet** and the **Income Statement**. These statements provide a comprehensive view of the company's financial structure and operating results.

Balance Sheet

The Balance Sheet, also known as the “Statement of Financial Position,” shows the financial condition of a company at a particular point in time. It is divided into three main sections: **Assets**, **Liabilities**, and **Shareholders' Equity**. Assets represent what the company owns, such as cash, inventory, machinery, property, and investments. Liabilities represent what the company owes, including borrowings, trade payables, and long-term obligations. Shareholders' equity represents the owners' claim on the company after all liabilities are paid.

The Balance Sheet follows the fundamental accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

This equation ensures the financial position remains balanced and accurate. The Balance Sheet helps users understand how a company has financed its operations—whether through borrowed funds or owner contributions—and how efficiently it manages its resources. For a comparative study like this one, analyzing Apple's and Samsung's Balance Sheets helps identify changes in their financial strength, debt levels, and capital structure from 2023 to 2024.

Income Statement

The Income Statement, also called the “Profit and Loss Statement,” presents the financial performance of a company over a period, typically a year. It shows how much revenue the company earned and what expenses were incurred to generate that revenue. The difference between total revenue and total expenses results in **net profit** or **net loss**.

Meaning and Importance of Horizontal / Comparative Analysis

Horizontal analysis, also known as comparative analysis, is a method used to evaluate financial performance by comparing financial data across multiple periods. It shows the movement or trend in various financial items such as assets, liabilities, equity, revenue, and expenses. By placing the financial figures of two or more years side by side, horizontal analysis clearly highlights whether each item has increased, decreased, or remained stable over time.

The importance of horizontal analysis lies in its ability to convert numerical data into meaningful insights. Instead of looking at a single year's performance, stakeholders can observe financial progression. This method measures both absolute changes (differences in figures) and percentage changes (rate of increase or decrease). It helps identify growth patterns, detect potential risks, and understand whether financial performance is improving or declining.

Horizontal analysis is especially useful for strategic planning. Managers use it to evaluate operational efficiency, cost control, and resource allocation. Investors use it to assess financial stability and growth potential before making investment decisions. Creditors rely on it to understand whether the company has sufficient liquidity to meet obligations. Comparative analysis also helps detect unusual financial variations that may need further investigation—such as sudden increases in liabilities or unexpected drops in revenue.

In this project, horizontal analysis helps compare Apple's financial performance for 2023 and 2024. It allows us to understand how their financial positions have changed, whether they expanded assets, reduced liabilities, improved equity, or strengthened their overall financial structure. This makes horizontal analysis a vital tool for financial interpretation and informed decision-making.

Steps in Preparing Comparative Financial Statements

Preparing comparative financial statements requires a systematic approach to ensure accuracy and clear interpretation. The major steps involved are:

Step 1: Collect Financial Data

The first step is to gather financial statements for at least two periods. In this study, financial data for Apple and Samsung for the years 2023 and 2024 are collected from published annual reports.

Step 2: Present Data Side by Side

The financial figures of both years are arranged in a tabular format. Each item—such as current assets, total liabilities, or equity—is aligned across the two periods for easy comparison.

Step 3: Calculate Absolute Changes

Absolute change is calculated by subtracting the previous year's value from the current year's value:

$$\text{Absolute Change} = \text{Current Year Value} - \text{Previous Year Value}$$

This shows how much each financial item has increased or decreased in actual terms.

Step 4: Calculate Percentage Changes

Percentage change is calculated to measure the rate of increase or decrease:

$$\text{Percentage Change} = (\text{Absolute Change} / \text{Previous Year Value}) \times 100$$

This gives a clearer idea of the significance of the change.

Step 5: Interpret the Results

Interpretation is the most important step. Analysts evaluate whether the changes are positive or negative—such as growth in assets, reduction in liabilities, or decline in equity.

Step 6: Prepare Findings and Conclusions

The final step includes summarizing key observations and deriving meaningful conclusions that reflect the financial movement of the companies.

CHAPTER 4

Introduction to Data Analysis

This chapter presents the Horizontal (Comparative) Financial Statement Analysis of the selected companies, Apple Inc. for the financial years 2023 and 2024. Horizontal analysis is used to measure the year-to-year movement in different financial items by calculating the absolute change and percentage change. This method helps in identifying growth patterns, evaluating financial performance, and understanding how the financial position of each company has changed over time. The data used in this analysis is taken from the published annual reports of the companies. The following table provides the comparative analysis of Apple Inc. based on its consolidated balance sheet.

Particulars	2023	2024	Absolute Change	% Change
Cash & Cash Equivalents	29,965	29,943	-22	-0.07%
Marketable Securities (Current)	31,590	35,228	+3,638	+11.51%
Accounts Receivable (Net)	29,508	33,410	+3,902	+13.21%
Vendor Non-Trade Receivables	31,477	32,833	+1,356	+4.30%
Inventories	6,331	7,286	+955	+15.08%
Other Current Assets	14,695	14,287	-408	-2.77%
Total Current Assets	143,566	152,987	+9,421	+6.56%
Marketable Securities (Non-Current)	100,544	91,479	-9,065	-9.01%
Property, Plant & Equipment	43,715	45,680	+1,965	+4.49%
Other Non-Current Assets	64,758	74,834	+10,076	+15.55%
Total Non-Current Assets	209,017	211,993	+2,976	+1.42%
TOTAL ASSETS	352,583	364,980	+12,397	+3.52%
Accounts Payable	62,611	68,960	+6,349	+10.14%
Other Current Liabilities	58,829	78,304	+19,475	+33.11%
Deferred Revenue	8,061	8,249	+188	+2.33%
Commercial Paper	5,985	9,967	+3,982	+66.53%
Term Debt (Current)	9,822	10,912	+1,090	+11.10%
Total Current Liabilities	145,308	176,392	+31,084	+21.39%
Term Debt (Non-Current)	95,281	85,750	-9,531	-10.00%
Other Non-Current Liabilities	49,848	45,888	-3,960	-7.94%
Total Non-Current Liabilities	145,129	131,638	-13,491	-9.29%
TOTAL LIABILITIES	290,437	308,030	+17,593	+6.06%
Common Stock & Paid-in Capital	73,812	83,276	+9,464	+12.82%
Accumulated Deficit	-214	-19,154	-18,940	Large increase (loss)
Other Comprehensive Loss	-11,452	-7,172	+4,280	+37.38%

Particulars	2023	2024	Absolute Change	% Change
TOTAL SHAREHOLDERS' EQUITY	62,146	56,950	-5,196	-8.36%
TOTAL LIABILITIES + EQUITY	352,583	364,980	+12,397	+3.52%

Interpretation of Apple's Horizontal Analysis

The horizontal analysis of Apple Inc. for the years 2023 and 2024 reveals several key financial movements. The total assets increased by 3.52%, mainly due to an increase in current assets such as accounts receivable, marketable securities, and inventories. This indicates that Apple strengthened its short-term financial position. Non-current assets showed a small increase of 1.42%, supported by growth in property, plant, and equipment as well as other long-term assets.

On the liabilities side, current liabilities increased significantly by 21.39%, which suggests higher short-term obligations such as commercial paper and other current liabilities. Non-current liabilities decreased by 9.29%, showing a decline in long-term borrowings, which is a positive sign for long-term financial stability. However, shareholders' equity decreased by 8.36%, largely due to an increase in accumulated losses and changes in other comprehensive income. Overall, Apple experienced growth in total assets but also faced pressure from rising short-term liabilities, leading to a decline in total equity.

Major Findings

- **Apple Inc. recorded a moderate increase in total assets during 2024**, with total assets growing by **3.52%** compared to 2023. This indicates steady expansion and a stable financial position rather than aggressive growth.
- **Current assets increased by 6.56%**, mainly due to higher accounts receivable, inventories, and marketable securities. This shows improvement in Apple's short-term liquidity and operational activity.
- **Non-current assets showed a marginal increase of 1.42%**, reflecting limited but consistent investment in long-term assets such as property, plant, and equipment and other long-term resources.
- **Apple's total current liabilities increased significantly by 21.39%**, indicating higher short-term obligations such as commercial paper and other current liabilities during 2024.
- **Non-current liabilities decreased by 9.29%**, showing a reduction in long-term debt and obligations. This reflects Apple's strong ability to manage and reduce long-term financial risk.
- **Total liabilities increased by 6.06%**, mainly driven by the rise in current liabilities, even though long-term liabilities declined.
- **Shareholders' equity declined by 8.36%** during 2024. This reduction is largely due to accumulated deficit and changes in other comprehensive income, which may be linked to share buyback policies.
- **Despite the decline in equity, Apple continues to maintain a strong asset base**, indicating that the company remains financially sound and capable of meeting its obligations.
- **The balance between asset growth and liability management shows a conservative financial strategy**, with Apple focusing more on stability and control rather than rapid expansion.
- **Overall, Apple Inc. demonstrates financial stability with controlled growth**, strong liquidity, and effective long-term liability management, though attention is needed to improve shareholders' equity position in future periods.

CHAPTER 5

Summary of the Study

This study focuses on understanding the financial performance of **Apple Inc.** by applying **Horizontal (Comparative) Financial Statement Analysis** for the financial years **2023 and 2024**. The main objective of the study was to examine year-to-year changes in key financial components such as assets, liabilities, and shareholders' equity, and to interpret these changes in terms of absolute values and percentage movements.

The analysis was carried out using secondary data collected from the published annual reports of Apple Inc. The consolidated balance sheets for the two years were compared using a horizontal analysis approach. A comparative table was prepared in **US Dollars (USD)** to analyze changes in current assets, non-current assets, current liabilities, non-current liabilities, and shareholders' equity. This method helped in clearly identifying increases or decreases in various financial items over the two-year period.

The study revealed that Apple experienced **moderate growth in total assets**, reflecting a stable and controlled expansion strategy. While current assets increased, indicating improved liquidity and operational activity, non-current assets showed only a marginal rise. On the liabilities side, current liabilities increased significantly, whereas non-current liabilities declined, indicating effective long-term debt management. However, shareholders' equity declined during 2024, mainly due to accumulated deficit and changes in comprehensive income.

Overall, the study demonstrates that horizontal analysis is an effective tool for understanding the financial movement of Apple Inc. over time and provides valuable insights for managerial decision-making and financial evaluation.

CHAPTER 6

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Annexure

Apple Inc.

CONSOLIDATED BALANCE SHEETS

(In millions, except number of shares, which are reflected in thousands, and par value)

	September 28, 2024	September 30, 2023
ASSETS:		
Current assets:		
Cash and cash equivalents	\$ 29,943	\$ 29,965
Marketable securities	35,228	31,590
Accounts receivable, net	33,410	29,508
Vendor non-trade receivables	32,833	31,477
Inventories	7,286	6,331
Other current assets	14,287	14,695
Total current assets	152,987	143,566
Non-current assets:		
Marketable securities	91,479	100,544
Property, plant and equipment, net	45,680	43,715
Other non-current assets	74,834	64,758
Total non-current assets	211,993	209,017
Total assets	\$ 364,980	\$ 352,583
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	\$ 68,960	\$ 62,611
Other current liabilities	78,304	58,829
Deferred revenue	8,249	8,061
Commercial paper	9,967	5,985
Term debt	10,912	9,822
Total current liabilities	176,392	145,308
Non-current liabilities:		
Term debt	85,750	95,281
Other non-current liabilities	45,888	49,848
Total non-current liabilities	131,638	145,129
Total liabilities	308,030	290,437
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, \$0.00001 par value: 50,400,000 shares authorized; 15,116,786 and 15,550,061 shares issued and outstanding, respectively	83,276	73,812
Accumulated deficit	(19,154)	(214)
Accumulated other comprehensive loss	(7,172)	(11,452)
Total shareholders' equity	56,950	62,146
Total liabilities and shareholders' equity	\$ 364,980	\$ 352,583

See accompanying Notes to Consolidated Financial Statements.